2025 PINE VALLEY SPECIAL SERVICE DISTRICT

YEAR-END REVIEW

AND SELF-EVALUATION

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PINE VALLEY SPECIAL SERVICE DISTRICT
2025 YEAR-END REVIEW

In December 2025, a letter from a concerned citizen living in the Pine Valley Special Service District was received by the Washington County Commission office. Due to the concerns voiced in the letter, the matter was handed over to the Washington County Auditor's office for investigation and review.

To begin the review, a copy of the Policies of the Pine Valley SSD on file with Washington County and approved by the Pine Valley Special Service District during 2025 were obtained and reviewed. It was decided that each policy would be reviewed to determine if the Pine Valley SSD complied with their own policies, as well as if the district had the policies in place required by the Utah State Auditor.

FRAUD RISK ASSESSMENT-

The Pine Valley SSD had completed the Fraud Risk Assessment for the year 2025 as required by the Utah State Auditor's office. As part of the assessment the district indicated that they had the following policies:

1- Conflict of Interest
2- Procurement or purchasing policy
3- Ethical Behavior
4- Reporting Fraud & Abuse
5- Travel
6- Credit or Purchasing card (where applicable)
7- Personal use of Entity assets
8- IT and computer security
9- Cash receipting and deposits.

In reviewing the Pine Valley SSD policy manual, the policies were in a different order than above, but each was included in the approved policies.
Page 3- Conflict of interest and Ethics pledge
Page 28- Procurement policy
Page 32 – Reporting of Fraud & Abuse
Page 36 – Travel
Page 15- Purchasing or credit cards, (the district has a policy but does not currently use purchasing cards or credit cards)
Page 15- Personal use of Entity Assets
Page 25- IT & computer security
Page 8- Cash handling policy

Along with required policies, the Fraud Risk Assessment asks questions concerning the management of each district. The answers from the Fraud Risk assessment are next.
1-The district affirmed that they have a basic separation of duties,
2- The district has a licensed CPA as part of its governing board.

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3- The district indicates they have a person with at least a bachelor's degree in accounting.
4- The district completes the annual required training from the Utah State Auditor's website,
5- The district indicates it has a formal internal audit function.
6- The district has a formal audit committee.
(See attached Fraud Risk Assessment completed by Pine Valley SSD in 2025)

In reviewing the structure of the district, it was found that.

1- Pine Valley Special Service District does appear to have a separation of financial duties with a Treasurer who receives payments and deposits money.
   A Clerk who writes the checks but is not a signer on the checking account. The clerk also bills the assessments, but doesn't reconcile the bank statements, as well as members of the board who at least quarterly review the checks written, compared to the bank statement, with a financial report being presented to the board at each of the monthly board meetings.
2- The current board Chair is a CPA
3- The board Chair has more than the required bachelor's degree in accounting.
4- Training is overseen by another member of the district board. Copies of the certificates of completion were provided as part of this internal review. Also, as meeting minutes were listened too, it was noted that the Chair encouraged the board members to complete the training at the beginning of 2026 for this upcoming year.
5- Two of the board members review the financial transactions and bank reconciliation as part of their assigned duties. These duties were assigned in a public meeting. These members of the board have credentials and expertise in financial transactions. These board members act as an informal internal audit function for the district. Because the board members have not formalized the internal audit function, it would be more appropriate not to score 20 points for question #8.
6- In the Pine Valley Special Service District, the full board acts as an audit committee as the full board reviews the financial transactions and a CPA firm is retained by the board to complete the year-end financial statements for the district. Due to the size of the district, an audit is not required yearly. Typically, an entity of this size would not have a formal audit committee nor a written charter of the audit committee's duties. Because the audit committee has not been formalized it would be more appropriate not to score 20 points for question #9.

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FINANCIAL AND COMPLIANCE SELF-EVALUATION-

Because it was year-end 2025 and the appropriate time for the Pine Valley Special Service District to complete their year-end processes, it was determined that a Financial and Compliance Self-Evaluation Form for Local Government Entities with a Total Annual Revenue and Expense Less than $350,000 would be completed by Washington

County for year-end 2025 as part of the review and recommendations would be made based on any findings from the Self Evaluation.

The Pine Valley Special Service District board and employees were helpful in obtaining the information necessary to complete the procedures and questions associated with the Self-Evaluation process.

The first area of compliance on the Self-Evaluation form is a review of policies of the Pine Valley Special Service District. Several had been reviewed as part of the Fraud Risk Assessment; additional written policies were reviewed as part of the Self-Evaluation process. Namely:

1- Written policy concerning receiving, recording & timely deposit of funds
2- Purchasing
3- Approval of disbursement
4- Records request (GRAMA) and the adoption of a uniform fee schedule
5- Records retention
6- Conflicts of interest

During 2025, Pine Valley Special Service District undertook a rewrite of their policy manual. Through this process they enhanced their separation of duties and changed their processes to more fully comply with the requirements of the Utah State Auditor's Office.

As previously mentioned, the cash handling policy for the Pine Valley Special Service District is located on page 8 of the district policy manual.

Purchasing requirements, including the appointment of the Fire Chief as the purchasing agent for the Pine Valley Special Service District are found on page 28 of the policies. The purchasing policy and the purchasing card and credit card policy address the approval amounts for disbursements.

A board member is designated as the Records officer and completes GRAMA requests, as well as completes the required annual GRAMA training including records retention schedule.

Conflict of interest is addressed in the policies as well as the requirement to complete a conflict of interest disclosure annually.

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The second section of the Self Evaluation asks questions concerning the District budget and the approval process.

The budget was appropriately noticed online, as well as presented using the required 3 column detail. The budget was approved prior to the beginning of the new year and was amended to account for differences before the end of the year and prior to spending amounts causing a budget deficit.

The next section of the Self Evaluation questions reporting.

Documentation was provided by the District to prove that financial information is maintained and used to create financial reports. These reports are provided to the oversight board at the board meetings. In reviewing the reports to the board, all reports were submitted.

2025 was an unusual year due to the Forsyth Fire that required evacuations of people living in Pine Valley and evacuation of district employees. Without access to the records there was a period of time during the summer that reporting was spotty. The stress associated with the fire as well as the district fire personnel working long hours with little down time in an attempt to save as many structures as possible, made 2025 a difficult year.

The Board reports that were reviewed were compared against the budget and the bank statements and check register to verify correct information was presented to the board.

The next section related to the actual bank statements. The bank statements for each bank account for each month along with the bank reconciliation for each month were provided by the district.

From these documents, several of the cleared checks were picked at random and the back-up documentation or invoices were requested to verify that the checks were:

1- Written and signed by only authorized personnel
2- Written for an approved purpose confirmed by the invoices
3- Written and paid for a need consistent with the districts purpose
4- Signed by an individual other than the person the check was made payable to

All of the checks were determined to be for valid needs of the district, were written and signed appropriately with invoices to back up and show the district need for the payment.

Verification was made that all these bank accounts were reconciled monthly and that the general ledger accounted for the deposits and the checks written by the district.

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Also from the bank statements, several of the deposits were reviewed and the backup documentation for that payment to the district was reviewed to verify:

1- That the payment was made out to the District
2- That payment was for an approved charge per the approved fee schedule
3- That the payment was deposited into the bank account owned by District
4- That the deposits were made in a timely manner

All the back-up documentation for deposits reviewed showed that payment to the district was for the yearly assessments or impact fees. These deposits were traced to the bank

statement showing that the deposit was added to the bank account of the Pine Valley Special Service District, and the deposits were made timely.

The next section of the Self Evaluation is concerning payments made by a purchasing card or credit card.

The Pine Valley Special Service District does not currently use p-cards nor credit cards for purchases. They have a policy in place for when the time comes that a district credit card or purchase cards become available. Several checks written monthly are to staff members and volunteer fire personnel to reimburse for the purchase of supplies and training.

The Utah State Auditor included in the Self Evaluation a section concerning the Open and Public meeting laws. This is the next section reviewed.

Several of the meetings held by the District during 2025 were listened to, agendas and meeting minutes were read. It was found that all meeting agendas were posted timely to the Utah Public Notice website. After the meeting minutes were approved, the minutes from the meetings were also posted timely to the Utah Public Notice website. In listening to the meetings, there were no instances found that the advisory board acted on any items discussed that were not on the agenda. Occasionally during board meetings, a citizen brought up an item to discuss that was then moved to be added to the next meeting to allow time to research the issue, and to appropriately act on items included on the agenda.

Per minutes, and discussions with the employees it was found that there were no closed meetings held in 2025.

The State compliance questions were posed to the Chair, various board members, the clerk and treasurer of the district. It was found:

1- That there were no instances of nepotism.
2- The district board members completed the training required by the Utah State Auditor’s office and provided copies of the certificates of training.

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3- One board member is assigned as the records officer who completed the required GRAMA training.
4- The entity is registered on the Local Governments limited purpose entity registry
5- Crime insurance is in force for the Pine Valley Special Service District to cover losses that may occur due to fraudulent acts
6- The entity has been free of acts of fraud, illegal acts and instances of non-compliance
7- The Fraud Risk Assessment was completed and posted prior to year-end.

Upon completion of the Self-Evaluation form, it is noted that all questions were answered in the positive, and no corrective action plans are needed for year-end 2025.

CONCLUSION-

The Pine Valley Special Service District has improved its processes with the policy manual rewrite. They have an intentional separation of duties, internal controls in place and are accountable to citizens of the Pine Valley Special Service District. The district has made efforts to be more transparent and compliant with the Utah State Auditor's requirements. Throughout this review and self-evaluation there were no findings of wrongdoing, nor any instances of fraud, waste or abuse.

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OTHER MATTERS-

The following items discussed and discovered as part of this review are suggestions that the district may or may not choose to incorporate into its processes.

1- Fraud Risk Assessment- Washington County has a fraud hotline reporting function on the front page of the Auditors website (at the bottom). Pine Valley Special Service district as a component unit of Washington County could claim the points for question #7 on the yearly fraud risk assessment by providing this information on the district website or linking the district website to the fraud reporting page of the County website.

2- Question #8 of the Fraud Risk Assessment asks if the entity has a "formal" internal audit function. The district has indicated yes to this question because members of the board are assigned to oversee and review the financial transactions of the district as least quarterly.
The Utah State Auditor has a document template to be used to create a "formal" internal audit function. Once the document is complete, it is approved by resolution or ordinance by the board which creates a "formal" internal audit function.

3- Question #9 of the Fraud Risk Assessment asks if the entity has a "formal" audit committee. Because Pine Valley Special Service District is not required to complete a yearly audit based on its revenues. A template from the Utah State Auditor's can be used as a charter to create a "formal" audit committee. This document when approved by the board creates a "formal audit committee".

4- As part of the Financial Self-Evaluation, it was shown that the Pine Valley Special Service District has no p-card or credit cards in the name of the district.
It is suggested that this addition to the ways that invoices are paid by Pine Valley SSD could:
   a. Save the writing of several reimbursement checks each month for items that the clerk, the fire chief, treasurer or members of the board purchase on behalf of the district
   b. Help provide confidence to the public that checks written to the board members, the clerk, the treasurer or the fire chief are not part of their salary/wage. When a citizen looks at the ledger and sees many checks written to these individuals, it appears that the district is paying the board and staff more than has been budgeted and paying the individuals often. When in truth, the payments are simply reimbursements.
   c. Possibly provide a small income stream to the district due to the rebates paid by several financial institutions for use of their p-card/credit card program
   d. Simplify the purchase process by charging purchases to the card, which can be set up to be paid automatically monthly, and attaching a phone photo of

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the receipt for purchase detailing what the purchase was for, and what expense account should pay for the purchase.

5- In a recent meeting, the board discussed their acceptance of payment through the Venmo app to the District. This would give another avenue for citizens of the district to pay their assessments; however, the same safeguards need to be present to account for these revenues as well as reconciliations for the safety of these funds that exist for other revenue received.

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